

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE SENATE

SENATE BILL NO. 1301

BY STATE AFFAIRS COMMITTEE

AN ACT

RELATING TO BEER; AMENDING SECTION 23-1003, IDAHO CODE, TO REVISE PROVISIONS
REGARDING SALES BY CERTAIN LICENSED BREWERS AND TO MAKE TECHNICAL COR-
RECTIONS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 23-1003, Idaho Code, be, and the same is hereby
amended to read as follows:

23-1003. BREWERS', DEALERS' AND WHOLESALERS' LICENSES. (a) Before
any brewer shall manufacture or any dealer or wholesaler import or sell
beer within the state of Idaho, such brewer shall apply to the director for
a license. The application form shall be prescribed and furnished by the
director and require that the applicant show that such brewer possesses
all the qualifications and none of the disqualifications of a licensee. To
determine qualification for a license, the director shall cause an inves-
tigation that shall include a fingerprint-based criminal history check of
the Idaho central criminal history database and the federal bureau of inves-
tigation criminal history database. Each person listed as an applicant on
an initial application shall submit a full set of fingerprints and the fee
to cover the cost of the criminal history background check with the appli-
cation. The application shall also be accompanied by the required ~~licensee~~
license fee; provided, that where the applicant is or will be within more
than one (1) of the foregoing classifications, the applicant shall apply
for each classification but shall pay only one (1) license fee, which shall
be for the classification requiring the highest fee. If the director is
satisfied that the applicant possesses the qualifications and none of the
disqualifications for the license, the director shall issue a license for
each classification applied for, subject to the restrictions and upon the
conditions in this act specified, which license or licenses shall be at all
times prominently displayed in the place of business of the licensee.

(b) Each wholesaler shall, in addition to the application, file with
the director a notice in writing signed by the dealer or brewer and the whole-
saler stating the geographic territory within which the wholesaler will dis-
tribute beer to retailers. The territory will be agreed upon between the
dealer or brewer and the wholesaler and may not be changed or modified with-
out the consent of both the dealer or brewer and the wholesaler. Provided
however, nothing in this section shall be interpreted to prohibit a brewer or
dealer from permitting more than one (1) distributor for the same geographic
territory.

(c) In the event that a wholesaler sells beer to a retailer who is lo-
cated outside the geographical territory designated by that wholesaler on
the notice provided for in subsection (b) of this section, the dealer or
wholesaler who has designated the geographical territory in which the sale

1 occurred may apply to a district court of this state for the issuance of an
 2 injunction enjoining sales of beer by the wholesaler outside of its design-
 3 nated geographical territory. The procedure for issuance of an injunction
 4 pursuant to this act shall be subject to the Idaho rules of civil procedure.
 5 Upon proof to the court that a wholesaler has made a sale of beer outside of
 6 its designated geographical territory, the court shall issue an injunction
 7 directed to the wholesaler prohibiting sales of beer outside of its design-
 8 nated geographical territory.

9 (d) Any licensed brewer that produces fewer than thirty thousand
 10 (30,000) barrels of beer in the aggregate annually, including any beer pro-
 11 duced outside the state of Idaho, may be issued a brewer's retail license.
 12 Upon payment of a retailer's annual license fee, and subject to the fees
 13 in sections 23-1015 and 23-1016, Idaho Code, a brewer may, at its licensed
 14 main production brewery or and at one (1) no more than two (2) remote retail
 15 location, or both locations, sell at retail the products of any brewery by
 16 the individual bottle, can, or glass. Any brewer selling beer at retail or
 17 selling products of its brewery to a retailer must pay the taxes required in
 18 section 23-1008, Idaho Code, on the products of its brewery, but need not be
 19 licensed as a wholesaler for the purpose of selling beer at the brewery or at
 20 ~~one (1) its two (2) remote retail location locations~~. Upon annual approval
 21 by the director, a brewer licensed pursuant to this subsection shall not for-
 22 feit its right to sell the products of any brewery by the individual bottle,
 23 can, or glass at its licensed main production brewery or one (1) at either
 24 of its two (2) remote retail location, or both, locations should the brewer
 25 produce more than thirty thousand (30,000) barrels of beer, provided such
 26 brewer:

27 (1) Has continuously brewed beer in and continuously maintained a phys-
 28 ical presence in the state of Idaho for no less than five (5) years;

29 (2) Has not violated any of the provisions of this chapter resulting
 30 in a revocation or suspension of a license for multiple days during any
 31 point of the brewery's production operations; and

32 (3) Has surrendered any wholesale license.

33 (e) A brewer that produces fewer than thirty thousand (30,000) barrels
 34 of beer in the aggregate annually, including any beer produced outside the
 35 state of Idaho, may be licensed as a wholesaler for the sale of beer produced
 36 by such brewery. Such brewer shall maintain a warehouse physically located
 37 within the state of Idaho, distribute its beer using employees of the brew-
 38 ery with equipment owned or controlled by the brewery, and comply with and be
 39 subject to all other regulations or provisions of law that apply to a whole-
 40 saler's license, except as the laws may restrict sales at the licensed brew-
 41 ery or one (1) other remote retail location in accordance with the provisions
 42 of subsection (d) of this section. The holder of a brewer's retail license
 43 shall not be disqualified from holding a retail wine license or wine by the
 44 drink license for the sale of wine at the brewery's premises on the grounds
 45 that the licensee is also licensed as a wholesaler.

46 SECTION 2. An emergency existing therefor, which emergency is hereby
 47 declared to exist, this act shall be in full force and effect on and after
 48 July 1, 2026.